

asked him how he intended to pay for it. "Brass," he replied gaily, "for silver and gold have I none."

*"The way to wealth in a bull market is debt.
The way to oblivion in a bear market is also
debt, and nobody rings a bell."*

This is an account of the new brass age in American finance—where we are now, how we got here and where we are going.

Financially speaking, the story of the 20th century has been the mellowing of the American lender. At the turn of the century, it was hard to get a loan. In 1989, if you have a mailbox into which a credit card can be dropped, it is almost impossible not to get one. Consumers, governments and businesses have borrowed as never before. It is the decade of the five-year Yugo loan, the leveraged-buyout loan, the unsecured bridge loan, the teaser-rate adjustable-rate mortgage loan, the rescheduled Brazilian or Mexican loan, the Sotheby's art-quality loan and the liposuction and breast-enlargement loan. It is the decade of retractable facsimile bonds, subordinated primary capital perpetual floating rate notes and collateralized fixed-rate multi-tranche tap notes. All in all, the 1980s are to debt what the 1960s were to sex.

Debt is more than a financial medium—more, even, than the de facto legal tender of the great bull market. Debt is an industry in itself, like auto parts. What is so notable about the gilded career of billionaire Michael R. Milken is that it happened at all. Its timing was a stroke of luck. In the 1950s, when the intense young Milken was almost certainly not wasting his time watching Lassie on television, interest rates were low, tax rates were high and the stock market (by our lights) was moderately valued. In retrospect, it was the perfect time to launch a junk bond enterprise, except for one